

HOW IT WORKS: INTEREST

Charlotte just graduated from college. Go, Charlotte. Charlotte has the average amount of debt for student borrowers, which was \$37,584 as of April 2020.⁷ Charlotte also has the average interest rate (APR) for student loans, which is currently 5.8%.⁸

Table 1.5. Interest on the average student loan debt, 2020

Money borrowed	APR	Interest per year	Interest per month
\$37,584	5.8%	\$2,180 ($\$37,584 \times 5.8\%$)	\$182 per month ($\$2,180 \div 12 \text{ months}$)

Let's look at Table 1.5 to see how much she is having to pay in interest. Poor Charlotte would need to pay \$182 per month just to keep her student loan debt at \$37,584. Again, if she pays \$182 per month, her debt will not go down. She will just pay \$182 per month forever, and she will always owe \$37,584. So how much does Charlotte need to pay per month to get rid of this debt in a realistic time period?

7 Jaleesa Bustamante, "Student Loan Debt Statistics," Educationdata.org, April 12, 2020, <https://educationdata.org/student-loan-debt-statistics>.

8 Kim Dancy and Alexander Holt, "In the Interest of Few: The Regressive Benefits of Federal Student Loan Refinancing," New America Policy Paper, June 20, 2017, <https://www.newamerica.org/education-policy/policy-papers/interest-of-few>.